

Financial Systems & Managerial Finance

(BUS526)

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Corporate Professional & Independent Researcher

Academic Education:

- **Employers so far:**
 - Netle Bangladesh
 - Standard Chartered Bank
 - Nagad Limited
 - BRAC Bank Limited
 - Unique Group, DBL Group
 - Walton Hi-tech industries PLC
- Pursuing PhD in Finance in USM Malaysia
- MBA from IBA , University of Dhaka
- BBA from FBS , University of Dhaka
- CERM(Certified Expert in Risk Mgt) from Frankfurt school of finance & management, Germany
- CFC(Certified Financial Consultant) from Institutie of Financial Consultants, USA

Areas of expertise & experience:

- Corporate governance
- Corporate finance & treasury
- Banking Risk Management
- Enterprise Risk Management
- Financial Crime Compliance
- Regulatory Compliance
- Project Management
- Business Process Review
- Business Continuity Strategy
- Corporate Branding
- Corporate Communication
- Audit & Assurance

COURSE STRUCTURE

- 12 CLASSES
- 3 QUIZES (BEST 2)
- MID TERM
- ASSIGNMENT
- TERM PAPER & PRESENTATION
- CLASS PARTICIPTION
- FINAL EXAM

COURSE EVALUATION

Activities	% of the Total Assessment
Attendance	5%
Quizzes (2 out of 3)	10%
Assignments (Individual)	5%
Group Term Paper	15%
Mid-term Examintion	25%
Final Examination	40%
Total	100%

COURSE OBJECTIVES

- Explain major financial statements of businesses and the methods of **fundamental analysis using financial ratios**.
- Describe the application of **time value of money** in financial management as well as in dealing with valuation problems of capital market securities.
- Explain the **mechanics of trading securities**, the alternative marketplaces in which these various types of transactions take place, and the players who facilitate these deals.
- Explain the assessment techniques and implications of **risk-return trade-off** in the investment process.
- Help learners develop foundation **knowledge on the valuation methods** of various long-term capital market securities and determine the cost of capital of alternative financial sources.

COURSE TOPICS

- **Basic Finance Terms & Financial Institutions and Markets**
- **Financial Statements, Cash Flows and Taxes**
- **Evaluating a firm's financial performance**
- **Time Value of Money**
- **Risk and Return**
- **Bonds and Their Valuation**
- **Stock Valuation**
- **Cost of Capital**
- **Capital Budgeting**
- **Basics of Working Capital Management**

COURSE LEARNING MATERIALS

Learning Materials:

Recommended Readings:

- Fundamentals of Financial Management by Eugene F. Brigham and Joel F. Houston (15e)
- Essentials of Managerial Finance by Scott Besley and Eugene F. Brigham (14e)
- Principles of Managerial Finance by Lawrence J. Gitman & Chad J. Zutter (14e)

Others resources:

www.ft.com - Financial Times

www.wsj.com - The Wall Street Journal Online

www.economist.com – The Economist

www.bloomberg.com – Business and Markets news

www.dsebd.org – Dhaka Stock Exchange (DSE)

Financial press and financial pages of daily papers: “The Financial Express”, “The Business Standard”, “The Economist” and business sections of other international / local newspapers.

What is Finance?:

Money:

- medium of exchange
- barter system
- m1, m2, m3
- Fiat money
- emoney

What is Finance?:

“The system or study of creating, circulating and managing money” – Investopedia

“Finance is defined as the management of money and includes activities such as investing, borrowing, lending, budgeting, saving, and forecasting. There are three main types of finance: (1) personal, (2) corporate, and (3) public/government.”

– CFI (corporate finance institute)

What is Finance?:

“Finance is Procurement /sourcing of fund and utilization of that fund”.

Sourcing can be done from Surplus unit and utilization can be done to deficit unit; can be individual institute or government

What is Business Finance?:

“Finance is Procurement /sourcing of fund and utilization of that fund with a view to maximize wealth or profit or both”.

QUIZ TIME

Core activity of Finance:

1. Printing & Circulating Money
2. Management of money effectively
3. Creating, circulating and management of money
4. All of the above

Correct answer: 3.

Finance Vs Economics Vs Accounting?

Economics – Theoretical Study

"The Big Picture of the business environment"

Finance – Decision Making

"Management of money in business"

Accounting – Information System

The language of the business

Finance Vs Economics Vs Accounting?

The "Lemonade Stand" Analogy

To put it all together, imagine you run a large lemonade corporation.

1. **The Economist** studies the neighborhood. She tells you: "Because it is summer (seasonality) and incomes in this neighborhood are rising (macroeconomics), the demand for lemonade will increase by 20%."
2. **The Accountant** counts the cash in the register. She tells you: "Last month, you sold 500 cups at \$2.00 each. Your cost of lemons was \$300. Therefore, your net profit was \$700. Here are the tax forms."
3. **The Finance Manager** looks at the Accountant's report and the Economist's prediction. He says: "Since we have \$700 in profit (Accounting) and demand is rising (Economics), we should not keep this cash in the bank. Instead, we should borrow money to buy a second stand now, because the future return on investment looks high."

Finance Vs Economics Vs Accounting?

Summary Comparison Table

Feature	Accounting	Finance	Economics
Primary Focus	Tracking & Reporting	Managing & Growing	Scarcity & Choice
Time Orientation	Past (Historical data)	Future (Projections)	Present/Trends (Theory)
Goal	Accuracy & Compliance	Wealth Maximization	Understanding Behavior
Key Question	"What happened?"	"What should we do?"	"Why did it happen?"
Typical Job	Auditor, Tax Specialist	Investment Banker, CFO	Policy Analyst, Researcher

Opportunity Cost ?

Opportunity Cost is the value of the "**Road Not Taken.**"

Opportunity Cost = What you GAVE UP – What you GOT

Asset ?

An asset is anything of value that is owned or controlled with the expectation that it will provide a benefit in the future.

Asset Class?:

Quick Analytical Summary: Risk vs. Liquidity

To help you visualize how these fit together, here is a general hierarchy:

Asset Class	Risk Level	Liquidity (Ease of selling)	Primary Goal
Cash	Very Low	Very High	Safety / Emergency Fund
Gov. Bonds	Low	High	Income / Stability
Corp. Bonds	Medium	Medium-High	Income
Real Estate	Medium	Low	Income + Appreciation
Equities	Medium-High	High	Growth
Commodities	High	High	Inflation Hedge
Crypto/VC	Very High	Variable	Speculative Growth

Financial System ?:

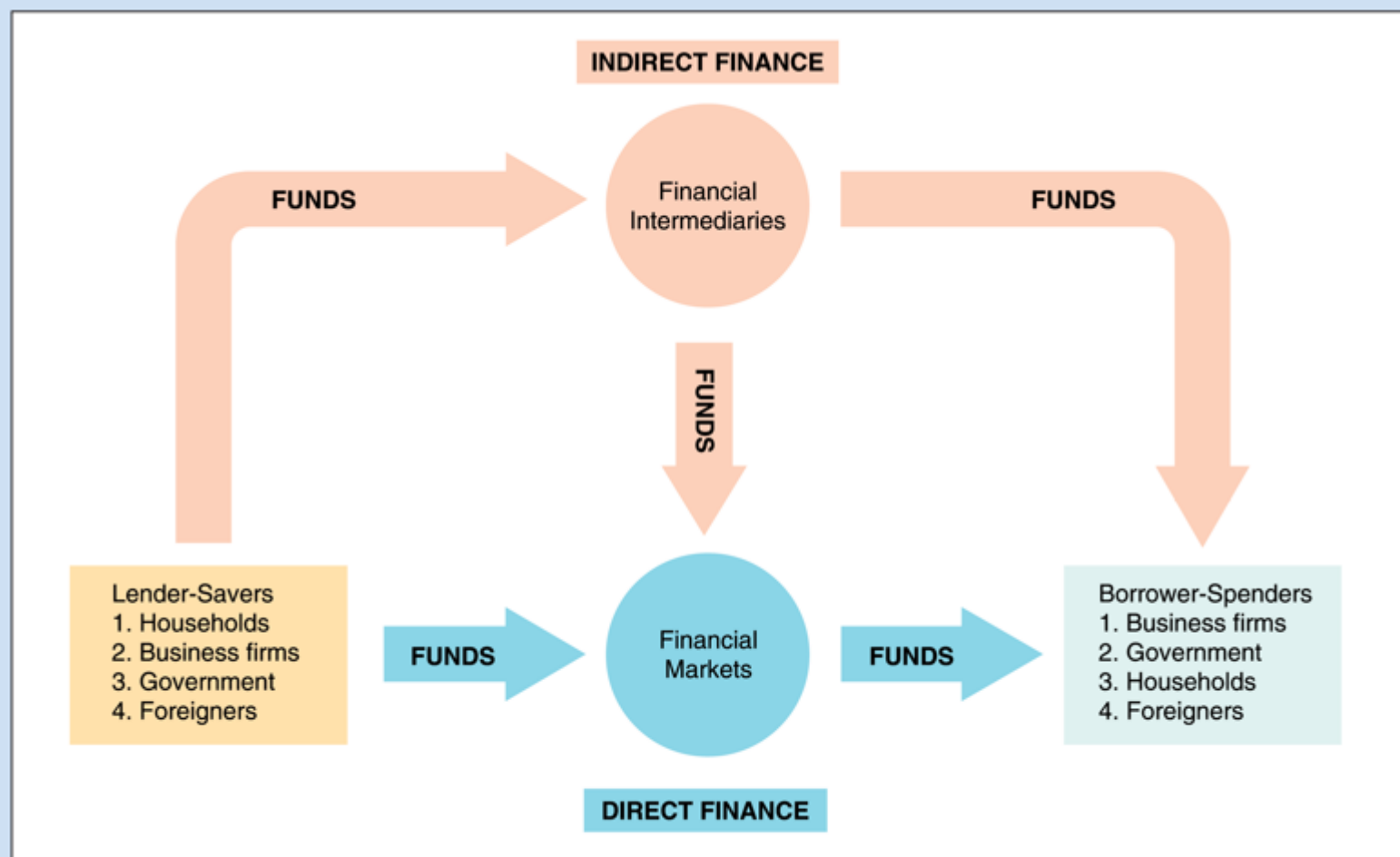


FIGURE 1 Flows of Funds Through the Financial System

Financial System ?:

Financial system (FS) – a framework for describing set of **markets, organisations, and individuals** that engage in the transaction of financial instruments (*securities*), as well as regulatory institutions.

- the basic role of FS is essentially channelling of funds within the different units of the economy – from surplus units to deficit units for productive purposes.

Financial System ?:

Financial markets perform the essential **function of channeling funds** from economic players that have saved **surplus funds** to those that have a **shortage of funds**

What's your takeaway from this course?



Thank you

Q&A